FINANCIAL MODELLING MASTERCLASS

Northfield Beverages, Inc.

Five-Year Financial Projection Model

Class Assignment (Case Study)

Company Snapshot

Company Name	Northfield Beverages, Inc.
Industry	Non-alcoholic Beverages Manufacturing (Bottled Water, Juices & Soft Drinks)
Headquarters	Atlanta, Georgia, USA
Founded	2012
Stock Exchange	NASDAQ
Reporting Currency	U.S. Dollar ($) — all model figures in $'000
Historical Period	FY2023, FY2024, FY2025 (3 years of audited data, provided in the student Excel files)
Projection Period	FY2026 – FY2030 (5-year forward projection)
Financial Year End	31 December

Company Background

Northfield Beverages, Inc. is a mid-sized U.S. beverage manufacturer that produces and distributes bottled water, fruit juices and soft drinks across the South-Eastern United States. The company operates distribution hubs in Atlanta, Charlotte, Nashville and Orlando, and sells to supermarket chains, convenience stores and food-service customers.

Northfield is listed on the NASDAQ and is financed by a combination of shareholders' equity, bank term loans and a small short-term working capital line. Revenue has grown by about 11% a year over the historical period, driven by strong demand for its bottled water range.

The Chief Financial Officer has engaged you as a financial analyst to build a five-year financial model. The model will support the board's review of two major investments, a new bottling line and a warehouse expansion, and the plan to part-fund the warehouse with new shares.

Problem Statement

Management wants to understand what the company's finances will look like over the next five years (FY2026–FY2030). Specifically, you are required to produce a fully integrated, formula-driven financial model that answers the following questions:

- How will revenue, costs, and profitability evolve over the projection period?

- What are the working capital and cash flow implications of projected growth?
- How will the planned capital expenditures affect the balance sheet, depreciation charges, and cash position?
- How will the new borrowings and dividend payments affect the company's cash position and capital structure?

Model Deliverables

The audited FY2023–FY2025 income statement, balance sheet and cash flow statement are provided in the student Excel files. In each layout (see Model Layout below), your model must contain these six components, built in this order:

1. Assumptions	All projection drivers in one place: growth, margins, working capital percentages, tax, dividends, interest rates, debt repayments and capex. Every other number in the model is a formula.
2. Fixed Asset Register & Schedule	Cost, accumulated depreciation, carrying amount and annual depreciation for every asset. Historic carrying amounts must agree to reported PPE.
3. Debt Schedule	Opening balance, drawdowns, repayments, closing balance and interest for the existing term loan, the new facility and short-term borrowings.
4. Income Statement	Revenue through to Net Profit, and key margin ratios.
5. Balance Sheet	Full balance sheet with a built-in balance check (Assets = Equity + Liabilities).
6. Cash Flow Statement	Indirect method: Operating, Investing and Financing activities, reconciling opening to closing cash

Model Layout: Single Worksheet or Multiple Worksheets

For this assignment you are required to build the model in BOTH layouts and submit two workbooks:

Option A: Single Worksheet	All model components are built on one worksheet.
Option B: Multiple Worksheets	The model components are separated into individual worksheets and linked together.

Use the matching student file as your starting point for each layout. Both workbooks must use the same assumptions and produce identical results. Only the structure of the workbook should differ.

Modeling Rules

- Inputs are separated from formulas.
- No hardcoded numbers inside formulas.
- The model must be fully linked and formula-driven.
- The balance sheet must balance in every year.

Forecasting Approach

Use the historical FY2023–FY2025 financial statements in the student files to work out the forecast drivers for FY2026–FY2030. Apply the following convention so that results can be compared across the class:

Forecast Item	Suggested Driver
Revenue	Historical revenue growth
COGS	Historical COGS as % of Revenue
Selling & Distribution Expenses	Historical % of Revenue
Administrative Expenses	Historical % of Revenue
Accounts Receivable	Historical % of Revenue
Inventory	Historical % of COGS
Other Current Assets	Historical % of Revenue
Accounts Payable	Historical % of COGS
Accruals & Other Payables	Historical % of Revenue

Ratio drivers: use the average of the three historical years (FY2023–FY2025), applied flat to every forecast year. Revenue growth: use the average of the FY2024 and FY2025 growth rates. Calculate these averages with formulas in your Assumptions section. Do not type them in.

Tax, dividend, financing, interest and capital expenditure assumptions specifically provided in this case study should be used as stated.

Tax, Dividend and Financing Assumptions

The following tax, dividend and financing terms apply from FY2026. They affect the Debt Schedule, Income Statement (interest, tax), Balance Sheet (cash, borrowings, retained earnings) and Cash Flow Statement.

Item	Value	Basis / Notes
Corporate Income Tax Rate	30%	Tax rate used for the forecast period
Dividend Payout Ratio	25% of Net Profit	Board policy; dividends are declared and paid in the same year
Interest Rate on All Borrowings	9% p.a.	One fixed rate for the existing term loan, the new facility and short-term borrowings.

Existing Term Loan — Repayment ($'000)	60,000 per year	The FY2025 balance of $300,000 is repaid in equal amounts from FY2026 to FY2030, at year end
Short-term Borrowings ($'000)	30,000	Balance remains at $30,000 throughout the projection period
Interest Income on Cash	4% p.a.	Earned on the opening cash balance each year
New Facility Drawdown ($'000)	180,000	Drawn on 1 January FY2026 to part-fund the Event 1 bottling line
New Facility Annual Repayment ($'000)	30,000 per year	Equal annual instalments over 6 years (FY2026–FY2031), paid at year end. A balance remains outstanding at the end of FY2030
Deferred Tax Liability	Held flat	No change is assumed during the forecast period
Share Capital	Held flat	No change is assumed during the forecast period

Existing Assets — Historical Fixed Asset Data

The following assets were already on Northfield's books before the projection period begins. You will need to compute the annual depreciation charge and accumulated depreciation for each historical year (FY2023, FY2024, FY2025), and determine the carrying amount that carries forward into FY2026. All assets use the straight-line method with nil residual value, and a full year's depreciation is charged in the year of purchase.

Asset	Cost ($'000)	Year Purchased	Useful Life	Depreciation Method
Buildings	400,000	2016	25 years	Straight Line
Plant & Machinery	300,000	2017	10 years	Straight Line
Office Equipment	60,000	2021	12 years	Straight Line
Delivery Trucks	180,000	2024	9 years	Straight Line

New Assets

Event 1 — New Plant & Machinery (FY2026)

Cost: $240,000,000 (240,000 in the model's $'000)
Useful Life: 8 years
Method: Straight-line depreciation.
Financing: New $180m term facility drawn on 1 January FY2026; remaining $60m funded from company cash.

Business Impact: Doubles bottled-water capacity to support revenue growth from FY2026 onwards.

Event 2 — Warehouse Expansion – Building (FY2028)

Cost: $300,000,000 (300,000 in the model's $'000)
Financing: Funded from company cash.
Useful Life: 20 years
Method: Straight-line depreciation.
Business Impact: Adds cold-storage capacity to serve new food-service and regional retail customers.

Discussion Questions

Q1	What happens to Northfield's cash position in FY2026 when the bottling line (Plant & Machinery) is purchased and the new facility is drawn down? Walk through the three sections of the Cash Flow Statement for that year.
Q2	How does depreciation on the new bottling line affect the EBIT margin in FY2026? Why does total depreciation fall in FY2027?

Submission Requirements

Submit the following by the deadline given to you:

- Workbook 1: Option A, single-worksheet model, built on your excel single-sheet file.
- Workbook 2: Option B, multiple-worksheet model, built on your excel multiple-sheet file.
- Written answers to Q1–Q2.
- Both workbooks must pass two checks in every year: the balance sheet balances, and cash flow closing cash agrees to balance sheet cash.

Note: Northfield Beverages, Inc. is a fictional company created for training purposes only. All figures, names, and events in this case study are illustrative and do not represent any real organization.

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